



PAPER – 4: DIRECT TAX LAWS & INTERNATIONAL TAXATION

The provisions of direct tax laws, as amended by the Finance Act, 2023 and the significant notifications and circulars issued upto 30.04.2024, are relevant for November 2024 examination. The relevant assessment year is A.Y.2024-25. The October, 2023 edition of the Study Material contains the provisions of direct tax laws as amended by the Finance Act, 2023 and notifications and circulars issued upto 31.7.2023. The said study material has to be read along with the Statutory Update for November, 2024 Examination webhosted at <https://resource.cdn.icai.org/80554bos64747.pdf> and Judicial Update for November, 2024 Examination webhosted at <https://resource.cdn.icai.org/80581bos64778.pdf>.



QUESTIONS

Case Scenario I

Trio Inc., a company incorporated in Country T, is engaged in manufacturing of computer hardware parts. It also owns an online social networking site, Attire. Nice Ltd., an Indian Company, imports computer hardware parts from Trio Inc. During the previous year 2023-24, Nice Ltd. did not import any computer hardware parts from Trio Inc. but paid ₹ 5,50,000 on 24th July, 2023 to Trio Inc. for advertising its business on the platform of Attire. However, Nice Ltd. neither deducted tax at source nor equalisation levy on such payment.

On 1-4-2023, Nice Ltd. advanced a loan of ₹ 2.5 crores to Xylo Inc., an Australian company. As on the date of loan, the book value of total assets in the books of Xylo Inc. was ₹ 4.52 crores. Out of the ten directors of Xylo Inc.,

five are appointed by Nice Ltd. Xylo Inc. repaid the entire loan along with interest thereon on 31st March, 2024.

On 9.11.2023, Trio Inc. sold 3,500 equity shares held by it in an Indian Company, XYZ Ltd. for ₹ 102 per share. These shares were bought by Trio Inc. on 15th April, 2011 for ₹ 36.40 per share. Both the purchase and sale of shares were effected through a recognized stock exchange in India and STT is paid on purchase and sale. Fair Market Value of these shares on 31-01-2018 was ₹ 90 per share.

CII for F.Y.2011-12 – 182; F.Y.2023-24 – 348.

Nice Ltd. received the draft order from the Assessing Officer as per section 144C of the Income-tax Act, 1961 due to variations determined by the Transfer Pricing Officer in the arm's length price for the A.Y. 2023-24. However, Nice Ltd. does not prefer to file the objection against the draft order before the Dispute Resolution Panel; Instead, it wants to file an appeal before the CIT (Appeals) under section 246A against the final order received from the Assessing Officer.

From the information given above, choose the most appropriate answer of MCQs 1 to 4:

1. In respect of payment made by Nice Ltd. for advertising services provided by Trio Inc., which of the following statements are correct?
 - (a) Equalisation levy is not attracted and no penalty leviable for non-deduction
 - (b) Tax is deductible at source u/s 195 by Nice Ltd. and hence, interest is payable for non-deduction of TDS
 - (c) Equalization levy of ₹ 33,000 is deductible by Nice Ltd. and penalty of ₹1,000 per day is attracted for non-deduction
 - (d) Equalization levy of ₹ 33,000 is deductible by Nice Ltd. and penalty of ₹ 33,000 is attracted for non-deduction
2. Are Nice Ltd. and Trio Inc. associated enterprises? If so, why?
 - (a) Yes, since loan advanced by Nice Ltd. to Xylo Inc. is not less than 51% of the book value of total assets of Xylo Inc.

- (b) Yes, since not less than 50% of the directors of Xylo Inc. are appointed by Nice Ltd.
 - (c) Yes, due to either (a) or (b) above.
 - (d) No, Nice Ltd. and Xylo Inc. are not associated enterprises, since the loan has been repaid before the end of the previous year i.e., before 31.3.2024.
3. Compute the amount of long-term capital gains arising to Trio Inc. on transfer of listed shares of XYZ Ltd. What would be the tax treatment of such capital gains under the Income-tax Act, 1961?
- (a) ₹ 42,000. The same would be taxable@10% u/s 112A
 - (b) ₹ 42,000. However, the said amount would not be subject to any tax.
 - (c) No capital gain would arise, since cost of acquisition would be ₹ 102.
 - (d) ₹ 1,13,400; The same would be taxable@20% u/s 112, since benefit of concessional rate @10% u/s 112A will not be available to a foreign company
4. Which of the following statements are correct, in relation to the remedies available to Nice Ltd. under the Income-tax Act, 1961, if it is not satisfied with the draft order passed by the Assessing Officer?
- (a) It can file an objection before the Dispute Resolution Panel against the draft assessment order
 - (b) It can file an appeal before CIT (Appeals) after getting the final assessment order
 - (c) Either (a) or (b)
 - (d) Both (a) and (b)

Case Scenario II

Mr. Bhuvan places bulk order on ABC Marketplace Ltd., an e-commerce operator for buying 100 toasters, a product listed by DEF Seller, a partnership firm. ABC Marketplace acts as Buyer-side ECO for Mr. Bhuvan as well as Seller-

side ECO for DEF seller and charges a convenience fee of ₹10/toaster to DEF Seller. DEF Seller processes the order and charges the buyer ₹1170/toaster, including packaging, shipping and convenience fees. DEF Seller pays XYZ Logistics ₹ 5/toaster for shipping, MNO retailer ₹ 15/toaster for packaging and convenience fees of ₹ 10/toaster. DEF Seller raised invoice of ₹ 1170 per toaster.

Mr. Sarthak placed an order for 500 decor wall clocks on Open Network for Digital Commerce (ONDC). These clocks are listed and owned by ABC marketplace Ltd. Mr. Sarthak made a payment of ₹ 665/ wall clock on ONDC platform via Paytm. ONDC credited ₹ 655/ wall clock after deducting its convenience fees to ABC Marketplace Ltd. The invoice of ₹ 665/ wall clock include shipping charges of ₹ 10/ wall clock, packaging cost of ₹ 15/ wall clock and convenience fees of ₹ 10/ wall clock.

From the information given above, choose the most appropriate answer of MCQ 5 to 9:

5. Is there any tax required to be deducted in respect of order placed by Mr. Bhuvan. If yes, by whom and what amount of tax needs to be deducted?
 - (a) Yes, tax of ₹ 1140 is required to be deducted by ABC Marketplace Ltd.
 - (b) Yes, tax of ₹ 1170 is required to be deducted by ABC Marketplace Ltd.
 - (c) Yes, tax of ₹ 1170 is required to be deducted by DEF Seller
 - (d) No tax is required to be deducted as order value does not exceed ₹ 5,00,000.
6. Is there any tax required to be deducted in respect of order placed by Mr. Sarthak. If yes, by whom and what amount of tax needs to be deducted?
 - (a) Yes, tax of ₹ 3,325 is required to be deducted by ONDC
 - (b) Yes, tax of ₹ 3,275 is required to be deducted by ABC Marketplace Ltd.
 - (c) Yes, tax of ₹ 3,325 is required to be deducted by Mr. Sarthak

- (d) No tax is required to be deducted as the order value does not exceed ₹ 5,00,000.
7. Would your answer to MCQ 5 be different in respect of the order placed by Mr. Bhuvan if it is assumed that DEF seller is an Individual and this is the only sales order received on ABC Marketplace Ltd.?
- (a) No, tax of ₹ 1140 is still required to be deducted by ABC Marketplace Ltd.
- (b) No, tax of ₹ 1170 is still required to be deducted by ABC Marketplace Ltd.
- (c) No, tax of ₹ 1170 is still required to be deducted by DEF Seller
- (d) Yes, tax is not required to be deducted in this case.
8. Assume that Mr. Bhuvan replaced 5 toasters and returned 5 toasters out of 100 toasters, what would be the adjustment of tax deduction in respect of these 10 toasters?
- (a) No adjustment is required for tax deducted in respect of replaced toasters and the amount of tax deducted on returned toasters would be refunded to DEF seller by ABC Marketplace Ltd.
- (b) No adjustment is required for tax deducted in respect of replaced and returned toasters.
- (c) No adjustment is required for tax deducted in respect of replaced toasters and the amount of tax deducted on returned toasters would be adjusted against the next sale, if any.
- (d) The amount of tax deducted on replaced and returned toasters would be refunded to DEF seller.
9. Assume that ABC Marketplace Ltd. provides a discount of ₹ 10 each to both Mr. Bhuvan and Mr. Sarthak on sale of toasters and wall clocks. Is there any tax required to be deducted at source? If yes, on what amount tax is deductible?
- (a) Yes; on ₹ 1,17,000 for sale of toasters and on ₹ 3,32,500 for wall clocks

- (b) Yes; on ₹ 1,16,000 for sale of toasters and on ₹ 3,22,500 for wall clocks
 - (c) Yes; on ₹ 1,17,000 for sale of toasters and on ₹ 3,27,500 for wall clocks
 - (d) No tax is required to be deducted as the order value does not exceed ₹ 5,00,000 in both cases.
10. Dynamic Ltd., an Indian company, took on lease a commercial premises for its operations. After some years, the company decided to vacate the premises and relocate to a new location. However, disputes arose with the lessor regarding the terms of vacating the premises. To resolve the dispute and avoid prolonged litigation, Dynamic Ltd. agreed not to claim the security deposit of ₹ 3.4 crores it had initially paid to the lessor at the start of the lease. Whether the amount of security deposit foregone by Dynamic Ltd. allowable as deduction while computing business income?
- (a) Yes, allowable as deduction as such expenditure is of revenue nature and incurred on account of dispute
 - (b) No, deduction would not be allowed as such expenditure is of capital nature
 - (c) Yes, allowable as deduction over the five years period
 - (d) Yes, allowable as deduction since the amount of foregone security deposit becomes the income of lessor.
11. Satya Trust, a public charitable trust registered u/s 12AB of the Income-tax Act, 1961 runs a hospital for the treatment of various diseases. Mr. Shaurya, son of Mr. Neeraj, who is the founder of this trust, was admitted in the hospital for heart surgery. He was charged a total fee of ₹ 3.6 lakhs as against the amount of ₹ 7.4 lakhs charged by the hospital for similar treatment to the general public. The Board of trustees are of the opinion that on account of providing this benefit to Mr. Neeraj, the registration of the trust can be cancelled, and exemption under section 11 would be denied to the trust in respect of entire income for the P.Y. 2023-24. Is the opinion of the Board of trustees', correct?

- (a) No; registration cannot be cancelled, however, the exemption under section 11 would be denied to the trust in respect of entire income of the trust for the P.Y. 2023-24.
 - (b) Yes, registration can be cancelled, and trust would not be eligible for exemption under section 11
 - (c) No; registration cannot be cancelled, and entire income is eligible for exemption under section 11.
 - (d) No; registration cannot be cancelled, and the value of benefit provided to Mr. Neeraj would be deemed as income of the trust.
12. Mr. Aviral opened a bank account in Country "R" on 1.7.2020. He has made deposits of foreign currency equivalent to ₹ 5 lakhs on 1.7.2020, ₹ 7 lakhs on 1.10.2020, ₹ 12 lakhs on 1.9.2022 and ₹ 25 lakhs on 1.3.2024, in that bank, out of Indian income which has not been assessed to tax in India. The deposit of ₹ 12 lakhs on 1.9.2022 is made out of the withdrawal of earlier deposits made on 1.7.2020 and 1.10.2020 with the said bank. Further, out of ₹ 25 lakhs deposited by him on 1.3.2024, Mr. Arvind withdrew ₹ 2 lakhs on 31.3.2024. The value of an undisclosed asset in form of bank account under the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 will be taken as:
- (a) ₹ 49 lakhs
 - (b) ₹ 47 lakhs
 - (c) ₹ 37 lakhs
 - (d) ₹ 35 lakhs
13. G Ltd., a resident Indian Company, on 01-04-2023 has borrowed ₹ 80 crores from M/s. M Inc, a Company incorporated in Country F, at an interest rate of 8% p.a. The said loan is repayable over a period of 12 years. Further, loan is guaranteed by M/s A Inc incorporated in Country F. M/s. C Inc, a non-resident, holds shares carrying 40% of voting power both in M/s G Ltd. and M/s A Inc. M/s C Inc has also deposited ₹ 80 crores with M/s M Inc.

Interest payable by G Ltd. to M Inc. would be subject to limitation of interest deduction because –

- (i) M/s. C Inc. holds shares carrying 40% voting power in G Ltd.
- (ii) M/s. C Inc. holds shares carrying 40% voting power both in G Ltd. and M/s. A Inc.
- (iii) M/s. A Inc. guarantees the loan taken by G Ltd. from M/s. M Inc.
- (iv) M/s. C Inc. has deposited ₹ 80 crores with M/s. M Inc.

The most appropriate answer is -

- (a) (i) and (iv) above
- (b) (ii) and (iii) above
- (c) (i) and (iii) above
- (d) Either (a) or (b)

14. M/s Cure Ltd., an Indian company, is engaged in the manufacturing of pharmaceutical products since 2020. Net profit as per statement of Profit and Loss for the year ended 31st March, 2024 was ₹ 95,45,000 after debiting or crediting the following items:

- (a) Paid ₹ 6,00,000 as expenses for public issue of shares. The public issue could not materialize on account of non-clearance by SEBI.
- (b) Goods purchased of ₹ 5 lakhs from M/s Sunny Traders (a micro enterprise as per MSMED Act, 2006) was delivered on 25.02.2024. Payment terms were agreed for 25 days from the date of delivery as per the contract in writing with Sunny Traders. The payment was actually made on 29.03.2024. However, no Interest or late payment charges were agreed upon between the parties in case of delay in payment.
- (c) Expense of ₹ 7,25,000 incurred for providing freebies to medical practitioners.
- (d) Depreciation of ₹ 12,50,000 charged on the basis of useful life of assets.
- (e) One-time license fee of ₹ 10 lakhs paid to a foreign Company for obtaining a franchise on 17th September, 2023.

- (f) The profit from setting up a warehouse in rural area for storage of sugar (before claiming deduction under section 35AD) is ₹ 17 lakhs. The warehouse commenced its operations on 24th November, 2023.
- (g) Power subsidy of ₹ 5,30,500 was received on 12-09-2023 with a stipulation that the same is to be adjusted in the electricity bills for the financial year 2022-23. The subsidy received was not included in the income for the year 2022-23.
- (h) The company earned ₹ 4,80,000 of profit from the sale of 3,000 shares of M/s ABC Ltd., a listed company. The shares were sold on 08-09-2023 for ₹ 260 per share. The highest price of ABC Ltd. quoted on stock exchange as on 31.01.2018 was ₹ 180 per share. These shares were purchased for ₹ 100 per share on 16-08-2015. STT paid both at the time of purchase and sale.
- (i) PNB waived a loan of ₹ 8,00,000 in a one-time settlement which includes ₹ 6,00,000 principal amount and ₹ 2,00,000 of arrear of interest amount. The loan was taken on 12.9.2020 to meet working capital requirement.

The Company furnished the following additional information relating to it:

- (i) Company has employed 50 new additional workers during the F.Y. 2023-24 on regular basis w.e.f. 01.07.2023 at the wages of 23,000 per month per employee. The regular employees participate in recognized provident fund. Wages to Additional workers were paid through an account payee cheque.
- (ii) The company has invested ₹ 40 lakhs in the construction of a warehouse (including land of ₹ 25 lakhs) in a rural area for the storage of sugar as an additional line of business.
- (iii) Depreciation as per the Income-tax Rules, 1962 without considering any adjustments given above is ₹ 9,20,000.
- (iv) The company's turnover for the financial year 2021-22 was ₹ 395 crores.
- (v) Book Profit of the company for the A.Y. 2024-25 is ₹ 99.50 lakhs.

Compute the total income of the company and optimum income-tax liability for the assessment year 2024-25. Your answer must give reasons for treatment of each item given above and also for the tax liability.

15. XYZ & Co., a partnership firm consisting of three working partners A, B and C and one non-working partner D, engaged in the business of manufacturing and selling electric kettles.

Following information is furnished for receipts and payments of the previous year 2023-24:

(i)	Total turnover	2,80,00,000
(ii)	Consideration for transfer of plot at New Delhi [profits on sale is credited to P & L A/c]	57,00,000
(iii)	Cash receipts [out of turnover in (i) above]	10,50,000
(iv)	Receipts by way of cheque other than A/c payee cheque [out of turnover in (i) above]	2,00,000
(v)	Amount of sales consideration for plot received in cash [out of (ii) above]	16,80,000
(vi)	Total Payments	1,95,00,000
(vii)	Cash payments [out of (vi) above] [each payment does not exceed ₹ 10,000 except salary of ₹ 12,000 p.m. made to a clerk which is debited to P & L A/c]	4,50,000

Net profit as per the Profit and Loss A/c is ₹ 8,65,000 after debiting or crediting the following:

- Interest @ 15% is provided to partner B on his capital of ₹ 10 lakh as authorized by the partnership deed.
- ₹ 60,000 p.m. paid as remuneration to each partner as authorised by partnership deed.

Additional information

- The firm had brought forward business loss of ₹ 75,000 of Assessment Year 2020-21. Till A.Y. 2023-24, the firm gets its books of accounts audited every year.

- The firm acquired plot on 30.4.2019 for ₹ 12,00,000. Cost Inflation Index for F.Y. 2019-20 :289; F.Y. 2023-24: 348.
 - (i) This year firm do not want to get its books of accounts audited. Advise the firm on this and compute the total income of the firm for the A.Y. 2024-25.
 - (ii) Compute the total income of the firm for the A.Y. 2024-25 assuming that instead of ₹ 2,00,000, firm received ₹ 4,00,000 by cheque other than A/c payee cheque.
16. Beta, a Real Estate Investment Trust (REIT), registered under relevant SEBI Regulations, holds 65% shares in H Ltd. Beta REIT provides the following information about its income for the F.Y. 2023-24.
- (i) Interest income from H Ltd. - ₹ 12 crores
 - (ii) Dividend income from H Ltd. - ₹ 2 crores
 - (iii) Short-term capital gains on sale of developmental properties - ₹ 1.2 crore
 - (iv) Interest received from investments in unlisted debentures of companies - ₹ 12 lakhs
 - (v) Rental income from directly owned real estate assets - ₹ 2 crores
- Mr. Arpan, a resident Indian, holds 70% of the units of the REIT. He acquired units in the REIT at an issue price of ₹ 1.5 crores. He does not have any other income during the year. During the P.Y. 2023-24, REIT distributed ₹ 20 crores to its unit holders.
- Compute the total income in the hands of Beta Ltd. and Mr. Arpan.
- Note:** H Ltd. has opted to pay tax under section 115BAA. Ignore TDS implications.
17. ABC Telecom Ltd. has entered into agreements with various distributors to sell its prepaid products. According to the agreement, the distributors purchase prepaid products at a discounted price from ABC Telecom Ltd. and are free to sell these products at any price below the printed price. The distributors make a profit based on the margin between their purchase price and the sale price to retailers or consumers. The distributors pay for the products in advance, irrespective of when they

sell them. ABC Telecom Ltd. does not credit or pay any income to the distributors and is not involved in the transactions between the distributors and third-party buyers.

Examine whether ABC Telecom Ltd. is obligated to deduct tax at source on the income/profit component earned by the distributors.

18. The Assessing Officer surveyed a popular Sports Complex by the name "SDX" which is within his jurisdiction at 9:30 pm in the night for collecting information which may be useful for the purpose of Income-tax Act, 1961. The concerned Sports Complex is kept open for business every day between 5 a.m. and 10 p.m. The owner of the Sports Complex claims that the A.O. could not enter his business premises after sunset and late in the night. The Assessing Officer wanted to take away with him the books of account and cash kept at the premises of the Sports Complex. Examine the validity of the claim made by the owner of Sports Complex and the proposed action of the Assessing Officer.
19. State with reasons the penalty leviable on each of the **three** independent instances:
 - (1) M/s ABC Trust, an eligible investment fund referred u/s 9A has filed a statement of its activities for the year ended 31-3-2024 on 31-7-2024.
 - (2) Meena Caterers has received ₹ 1 lakh in cash and ₹ 9 lakh by account payee cheque from Mr. Arvind for rendering catering services on the occasion of his daughter's wedding.
 - (3) The premises of Tip Ltd. was searched and undisclosed income of ₹ 18 crores was determined. The Company did not admit the undisclosed income in a statement under section 132(4) but declared the same in a return furnished and paid the tax with interest thereon.
20. Mr. Ram Prakash, a resident Indian aged 58 years, has business interest in India and in some other foreign nations also. He has derived income from two other nations X and Y, with which India does not have DTAA. The particulars of income earned in the two nations X, Y and in India during the P.Y. 2023-24 are as under:

Particulars of Income	(₹)		
	X	Y	India
Gross rental receipts from commercial property	2,50,000	2,50,000	-
Share income from Partnership firm (loss) [The partnership deed was not evidenced by an instrument in writing]	(1,20,000)	(1,30,000)	-
Business income	2,80,000	3,40,000	1,80,000
STCG from sale of vacant site on 11.11.2023	10,80,000	Nil	-
Long-term capital gains on sale of residential house in Delhi on 1.3.2024	-	-	37,00,000
Agricultural Income	3,40,000	1,80,000	5,20,000

The following investments were made in India during the year ended 31.3.2024:

Particulars of Income	(₹)
Purchase of residential house at Delhi on 18.3.2024 in joint name with spouse	25,00,000
Contribution to PPF	1,50,000

Income-tax rate structure:
Country X

(₹)	Tax rate
Upto ₹ 3 lakhs	Nil
₹ 3 to ₹ 6 lakhs	15%
Above ₹ 6 lakhs	22%

Country Y

Flat 27% without any basic exemption limit.

Tax treatment/ concessions in other nations

- (i) No statutory allowance/deduction in respect of house property income in Country X as well as Country Y.
- (ii) Loss from firm can be set off against other business income in Country Y only (and not in Country X).
- (iii) Agricultural income is exempt in Country X only (and not in Country Y).

Compute the net tax liability of Mr. Ram Prakash for the assessment year 2024-25 assuming that he is paying tax under section 115BAC.

21. Peter Inc., is a company incorporated under the laws of USA. The value of its global assets are ₹ 50 crores. The value of assets in India are ₹ 25 crores. Its turnover during the P.Y. 2023-24 is US \$ equivalent to ₹ 90 crores. Out of 10 board meetings held during the F.Y.2023-24, only 4 meetings are held in India. The key management and commercial decisions for conduct of the company's business as a whole are, however, made by the directors located in India at the meetings held in India. Your client, Payal Ltd, an Indian company, wishes to remit an amount towards professional fees to Peter Inc. on which tax is required to be deducted in India.

Determine the residential status of Peter Inc. for A.Y.2024-25 under the Income-tax Act, 1961. Advise Payal Ltd as to whether tax on fees for professional services paid to Peter Inc. has to be deducted under section 194J or section 195.

22. B Ltd. is an Indian Company located in Special Economic Zone (SEZ) in which TQR Inc., a Country C company is holding 30% shares and voting power. Following transactions were entered between these two companies during the year 2023-24:
- (a) B Ltd. sold 90,000 pieces of LED sticks at \$ 10 per LED stick to TQR Inc. Identical LED sticks were sold by B Ltd. to an unrelated party, namely, G Inc. in Country C at \$ 12 per LED stick.
 - (b) B Ltd. borrowed loan of \$ 3,50,000 from a Country C lender on the strength of guarantee given by TQR Inc. and for the purpose of giving guarantee, B Ltd. paid \$ 15,000 as guarantee fee to TQR Inc.

However, for the same amount of loan taken by an unrelated party in India, TQR Inc. had charged guarantee fees of \$ 12,000.

- (c) B Ltd. paid \$ 18,000 to TQR Inc. for getting the details of various potential customers to improve its business outside India in global market. TQR Inc. provided the same services and details to an unrelated party in India for \$ 16,000.

Examine the relationship of B Ltd. and TQR Inc. of Country C and the nature of various transactions entered into between them during the year 2023-24.

- (i) What are the adjustments, if any, required to be made to the total income of B Ltd. under transfer pricing provisions. One Country C dollar may be taken as ₹ 85.
- (ii) If the said adjustments are made by the Assessing Officer, can B Ltd. claim deduction under section 10AA in respect of the enhanced income?